

Lecturer:

Name:

Office:

Lectures:

Learning Outcomes:

On successful completion of this module, students should be able to:

Summarise the information needs of various users of financial statements

Module Objective:

Module Content:

Assessment:

Formal Written Examination:

Continuous Assessment:

Total Marks:

Pass Standard:

Requirements for Supplemental Examination:

Financial Accounting/Principles of Accounting

Chapter 1 - Introduction - Key Terms and Concepts

Michelle Gleeson

AC1100

Introduction

- Welcome
- Course outline – this has been put up on Canvas
- Weekly assignments
- Tutorials – will advise when I receive confirmation but not until we have a good bit of material covered
- Continuous assessment – (online – within class time)
- Exam (linked to exemptions from accounting bodies – relevant to some)
 - Q1 Compulsory – 40 marks
 - & 2 out of 3 questions (30 marks each)
- Text book is required as weekly assignments will be set from this
 - Introduction to Accounting for business owners and managers by Michelle Gleeson – online lecture will provide details of where to obtain and how. It is £9.99 (and you get to keep it)
- Why will this course be useful for you?
- Lecture notes are split by topic/chapter – and they are referenced back to the text, to help in your revision

How to download the e-book

- <https://www.amazon.com/kindle-dbs/fd/kcp>
- •Click download for PC/Mac
- •Run – this will install kindle on your pc/laptop
- •You then sign in (if you already have an account) or create an account.
- •To purchase books – click on kindle store on the top right-hand corner.
- •When you download your texts, they will be in your library.
- •Use this symbol/icon “Aa” to adjust text size if you need
- •Use the symbol (of 4 arrows) to open a full screen – which is much better for a text book which contains tables, workings and so on that a novel doesn’t.
- •You can also open up a notebook to make your own notes etc

Class rules

- Respect for everyone in our class:
- Please ask questions if you do not understand something. As this is a large class, I will put up a question board each week – see below. In order to keep the class moving, I will keep each topic open for questions for two weeks
 - No question is a stupid question – we all learn from asking questions
 - Or else ask me after class
 - I will put up a board for questions each week – please have questions entered by Friday and I will cover these in the following class
- Need to attend classes (missing a few weeks really sets students back).
- Have you any questions at this time?

How do financial transactions arise? – normal day to day transactions in a business

- Invoices we send our customers
- Credit notes we send our customers
- Invoices we receive from our suppliers (as an individual what invoices do we receive?)
- Credit notes we receive from our suppliers
- Debit notes
- Each of these transactions need to be recorded

What do accounting systems do?

- Collect, measure and records transactions
- Summarises and communicates the results of these transactions to users (which enables users make decisions)

Financial Statements

- Statement of Profit or Loss (SOPL) – (you will hear this also referred to as Profit and Loss or P&L)
- Statement of Financial Position (SOFP) – (you will hear this also referred to as the Balance Sheet (BS))
- Statement of Cash Flows (SOCF)

Statement of Profit or Loss (SOPL)

Albert Ltd

Statement of Profit or Loss for the year ended 31 December 2018

- The organisation name is clearly identified
- It is prepared for a fixed reporting period, which is clearly identified
- It is prepared on an accruals basis – we will study this later
- The reporting date is the last day of the reporting period – in this case 31 Dec 2018
- We will be using the term SOPL, however in organisations it will generally be called the P&L (Profit and Loss)
- **This provides information on the financial performance of the organisation**

Statement of Financial Position (SOFP)

Albert Ltd

Statement of Financial Position as at 31 December 2018

- The organisation name is clearly identified
- It is prepared at a fixed reporting period, which is clearly identified (as at 31 December 2018)
- It is prepared on an accruals basis – we will study this later
- The reporting date is the last day of the reporting period – in this case 31 Dec 2018
- We will refer to this as the SOFP. In an organisation we will often refer to this as the BS (Balance Sheet)
- **This provides information on the financial position of the organisation**

Statement of Cash Flows (SOCF)

Albert Ltd

Statement of Cash Flows for the year ended 31 December 2014

- The organisation name is clearly identified
- It is prepared for a fixed reporting period, which is clearly identified
- It is prepared on a cash paid and received basis – we will study this later
- The reporting date is the last day of the reporting period – in this case 31 Dec 2018

Note – This statement provides information on the cash inflows and outflows.

It shows the cash inflows and outflows in relation to the following activities:
Operating, Investing and Financing

Understanding the Statement of Profit or Loss (SOPL)

- The information we get from the SOPL/P&L is the financial performance of an organisation.
- Basically it shows the profit or loss, which is income earned less costs incurred

Profit/Loss for the reporting period = Income Earned – Expenses Incurred

- What is income earned?
- Income earned includes sales for the period (regardless of whether we have been paid or not and regardless of whether we have invoiced the customer or not. It also includes income received in an earlier period for work carried out in this current period.

SOPL – Question on earned income

What is the income earned for the period?

- Invoices issued to customer for € 216,000 for goods sold during the reporting period.
- Payments received from customers amounted to € 190,000 during the reporting period which related to goods sold in a prior period.
- Goods sold during the reporting period where invoices were not issued by the reporting date amounted to € 10,000.

SOPL – Solution (Income earned)

Invoices issued for goods and services sold during the reporting period	216,000
Invoices not issued by the end of the reporting period for goods/services sold during the reporting period	<u>10,000</u>
Income earned during the reporting period (SOPL figure)	226,000

SOPL – Costs incurred

- Cost of goods or services consumed during the reporting period regardless of whether or not an invoice has yet been received and regardless of whether or not they have yet been paid for. It also includes the cost of goods or services consumed during the reporting period where payment was made in an earlier reporting period.

SOPL – Question on Costs incurred

What is the cost incurred for the period?

- Invoices were received from suppliers for €165,000 during the reporting period for goods purchased in this period.
- Payments made to suppliers amounted to €155,000 during the reporting period.
- Expenses were incurred of €12,500 for which invoices were not received by the reporting date.

SOPL – Solution on Costs incurred

	Amount
Invoices received for goods and services consumed during the reporting period	165,000
Invoices not received by the end of the reporting period for goods/services consumed during the reporting period	<u>12,500</u>
Costs incurred during the reporting period (SOPL figure)	177,500

Calculating the profit for a reporting period

You have been provided with the following information and asked to calculate the profit for the reporting period:

	Amount
Sales invoices issued to customers during the period for sales made in the period	150,000
Amount received from customer in relation to the invoices issued during the reporting period	145,000
Expenses incurred for which invoices were received from suppliers of goods and providers of services during the reporting period	110,000
Amount paid to suppliers of goods and providers of services for expenses incurred during the reporting period	98,000

Solution – Calculation of profit for a reporting period

Profit/Loss for the reporting period = Income Earned – Expenses Incurred

Profit for the reporting period = 150,000 – 110,000

Profit for the reporting period = 40,000

What types of organisations/entities can we have?

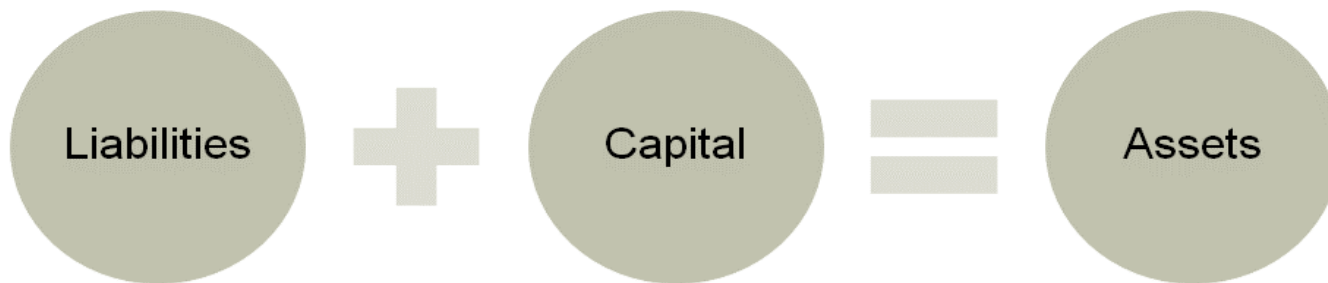
- Sole traders
- Partnerships
- Companies
- Not for profit organisations
- Government bodies

Who are the users of financial statements?

- Customers
- Suppliers
- Banks
- Investors
- Shareholders
- Staff
- Competitors
- Government bodies
- General public

Accounting Equation

- Or moving this around gives
- $A - L = C$
- Below is the same as $\text{Assets} = \text{Capital} + \text{Liabilities}$



Understanding what makes up the accounting equation

- Liabilities
 - Loans, Trade payables (creditors), Other payables, Bank overdrafts
- Capital
 - We will look at this in more detail as we go through the course.
 - Sole Trader – Capital + profit - drawings and losses
 - Partnership – Capital and current accounts (not on our module)
 - Company – Share capital and reserves (not on our module)
- Assets
 - Property, Vehicles, Plant and Equipment, Inventory (stock), Trade Receivables (Debtors), Bank, Cash

Accounting Equation

***Example – John started business by investing
€10,000 cash***

Impact of transaction:

Asset – Cash increased by €10,000

Capital – Capital increased by €10,000



Questions

- Solve the accounting equations for the following:
 - Assets = 80k
 - Capital = 25k
 - What are liabilities?
- Liabilities = 90k
- Capital = 45k
- What are assets?
- Assets = 150k
- Liabilities = 120k
- What is Capital?

Solutions

- Assets = 80k
 - Capital = 25k
 - What are liabilities = €55,000
-
- Liabilities = 90k
 - Capital = 45k
 - What are assets? = €135,000
-
- Assets = 150k
 - Liabilities = 120k
 - What is Capital? = €30,000

This is the movement of capital during an accounting period:



Process of preparing financial statements

- Do you remember we spoke about how transactions originated? Journal entries are used to record these transactions
- We post them on our accounts system (we are going to do it manually to fully understand) to update our accounts. **Each posting has both a debit and credit entry – THIS IS REALLY IMPORTANT – THERE ARE 2 SIDES TO EVERY TRANSACTION**
- Once this is completed we end up with a Trial Balance (TB) which lists all our accounts and the balance on each one
- Our financial statements are then prepared from the Trial Balance

Assets, Liabilities, Income, Expenditure & Capital

- Firstly we need to understand each of these (GO BACK TO PRIOR NOTES IF YOU NEED TO RECAP):
 - Asset (e.g. property, vehicles, plant and equipment, inventory (stock), trade receivables, bank, cash)
 - Liability (e.g. loans, trade payables, other payables, bank overdrafts)
 - Income (e.g. revenue/income/sales)
 - Expenditure (e.g. purchases, wages and salaries, light and heat, rent, rates)
 - Capital (e.g. Capital, Drawings)

Posting Journal Entries

- Remember these 2 rules and you will be able to then figure out every scenario to determine if it should be a debit or credit.
- **Debit an increase in an asset.**
- **Debit an increase in an expense**

Question:

What is the opposite of an asset. What do we do with an increase in it?

What is the opposite of an expense? What do we do with an increase?

Are these Debits and Credits?

- Increase in an asset = ?
- Increase in an asset = Debit

- Increase in a liability = ?
- Increase in a liability = Credit

- Decrease in an asset = ?
- Decrease in an asset = Credit

- Decrease in a liability = ?
- Decrease in a liability = Debit

- Increase in an expense = ?
- Increase in an expense = Debit

- Increase in income = ?
- Increase in income = Credit

- Decrease in an expense = ?
- Decrease in an expense = Credit

- Decrease in income = ?
- Decrease in income = Debit

Cash V Bank

- If you go into a shop and buy a phone for €299 and hand over cash what is the journal to record this
- If you go into the same shop and buy a phone for €299 and pay with your debit card, what is the journal to record this.
- If a question mentions the business paid by cash (then cash account will be used) Will it be a DR or CR?
- If a question talks about cash sales, then the cash account is used – DR or CR?
 - If a question mentions paid by card – what account will be used?
 - If a question mentions paid by DD – what account will be used?
 - If a question mentions paid by transfer – what account will be used?
 - If a question mentions paid by cheque – what account will be used?

The 3 step process for posting journal entries

- Is it an asset/liability/income or expenditure
- Then we need to understand the impact on each account – is it increasing or decreasing?
- Finally is it a debit or a credit

Question

- Rent €950 is paid by direct debit in August
- The journal entries we need to post (remember every entry has both a debit and credit) are:
 - Debit Rent 950 “August Rent” (debit)
 - Credit Bank 950 “August Rent”(credit)To record DD for Rent for Aug (description)
- The description is in your own words – we will have describe it slightly differently and that is fine. If you leave out descriptions, marks will be lost in the exam
- Now we have prepared the entries, we will post them (or enter them) into the ledger accounts

2 ways to present your journal – YOU CAN CHOSE WHICH YOU PREFER

- Goods sold in January 2019 for cash of €12,000

Method 1:

DR cash €12,000

CR sales €12,000

To record cash sales in January 2019

Method 2 (DR first and CR next):

	DR	CR
Cash Account	12,000.00	
Sales Account		12,000.00
To record Cash Sales in January 2019		

Questions – if you want to ask questions please do so on the below link

- <https://padlet.com/michellegleeson/Bookmarks>
- Please ensure questions are posted by end of day Friday each week
- I will then take this and bring questions to class (unless they are already answered in the lecture slides)
- To make this work, you can ask questions on any topic up to two weeks from when that topic was covered (so we all need to keep up to date with the material covered)

Financial Accounting

Lecture 2 Chapter 3 and Chapter 4

Michelle Gleeson

Questions from students this week

- Yes we will go through the process of posting a journal again (we will do loads, so don't worry yet if you haven't grasped them)
- Yes I will go through the accounting equation again
- Keep posting any queries that you have. I will certainly go back through elements that you need

Accounting Equation

- Or moving this around gives
- $A - L = C$ (the owner owns the business (represented by the capital) which equates to the assets – liabilities of the business)
- $A = L + C$
- Below is the same as $\text{Assets} = \text{Capital} + \text{Liabilities}$



This is the movement of capital during an accounting period:



Revision question

- <https://www.menti.com>
- Code **8761 9809**

Posting Journal Entries

- Remember these 2 rules and you will be able to then figure out every scenario to determine if it should be a debit or credit.
- **Debit an increase in an asset.**
- **Debit an increase in an expense**

Question:

What is the opposite of an asset. What do we do with an increase in it?

What is the opposite of an expense? What do we do with an increase?

Are these Debits and Credits?

- Increase in an asset = ?
- Increase in an asset = Debit
- Increase in a liability = ?
- Increase in a liability = Credit
- Decrease in an asset = ?
- Decrease in an asset = Credit
- Decrease in a liability = ?
- Decrease in a liability = Debit
- Increase in an expense = ?
- Increase in an expense = Debit
- Increase in income = ?
- Increase in income = Credit
- Decrease in an expense = ?
- Decrease in an expense = Credit
- Decrease in income = ?
- Decrease in income = Debit

The 3 step process for posting journal entries

- Is it an asset/liability/income or expenditure
- Then we need to understand the impact on each account – is it increasing or decreasing?
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Question

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2 ways to present your journal – YOU CAN CHOSE WHICH YOU PREFER

- Goods sold in January 2019 for cash of €12,000

Method 1:

DR cash €12,000

CR sales €12,000

To record cash sales in January 2019

Method 2 (DR first and CR next):

	DR	CR
Cash Account	12,000.00	
Sales Account		12,000.00
To record Cash Sales in January 2019		

Do account names matter?

- The names of the accounts are generally chosen by the business e.g. electricity costs may be posted to an electricity account or else light and heat etc. The purchase of a computer may be posted to a computers account or equipment etc. Also, the distinction between cash and bank is sometimes blurred – so when something is paid for in cash, we may see this being posted to the bank account in some text books. Businesses will generally have bank rather than cash transactions and any cash transactions, will probably be carried out through petty cash e.g. buying milk/tea, paying the window cleaner and so on. However if a question specifies cash, then we must use a cash account, otherwise we lose marks

Purchasing on credit

- Most of the purchases of a business will be credit purchases (sales may or may not be).
- When credit sales are made, the impacted accounts are Sales and Trade Receivables (often called trade debtors).
- When credit purchases for resale are made, the impacted accounts are Purchases and Trade Payables (often called trade creditors).
- When credit purchases not for resale are made e.g. stationery, cleaning, legal fees etc the impacted accounts are Stationery (or whatever the relevant cost account is) and Other Payables (or other creditors). Watch what you are given in questions to ensure maximum marks.

Example

- Having already considered:
 - Goods sold in January 2022 for cash of €12,000
 - Now look at:
 - Goods are sold in February 2022 on credit for €8,700
-
- Remembering the process:
 - Prepare these journal entries (Is it Asset/Liability/Income/Expenditure/Capital. What is the impact. What is the DR and what is the CR

Answer:

		DR	CR
Cash Account		12,000.00	
Sales Account			12,000.00
To record Cash Sale January			
Trade Debtors		8,700.00	
Sales Account			8,700.00
To record Credit Sale February			

We record these transactions on our ledger accounts (sometimes called T-Accounts)

- Example:
 - We paid rent from our bank account in August 2022 of €950 – how do we record this.
 - Firstly do the journal entry
 - Then record on our ledger accounts
 - We will then close out our ledger accounts at the end of our accounting period
 - Go back to our process
 - Is it an asset/liability/income or expenditure
 - Impact on each account
 - Are they debits or credits

Solution – posting to our ledger accounts – left is always DR side and right the CR side – see how the reference in each account tells you where the other side of the transaction lies

DR					CR
		Rent Account			
Aug-22	Bank	950			
		Bank Account			
			Aug-22 Rent		950

Solution – closing out our ledger accounts at the end of the period

DR					CR
		Rent Account			
Aug-22	Bank	950	31-Aug-22	Balance C/F or C/D	950
31-Aug-22	Balance B/F or B/D	950			
		Bank Account			
31-Aug-22	Balance C/F or C/D	950	Aug-22	Rent	950
			31-Aug-22	Balance B/F or B/D	950

Solution – Listing our Trial Balance

Trial Balance at 31 August 2022

Account	DR	CR
Rent	950	
Bank		950
Totals	950	950

Example 2 – from earlier

We previously had the following

- Goods are sold 19 January 2019 for cash of €12,000
- Goods are sold in 10 February 2019 on credit for €8,700

		DR	CR
Cash Account		12,000.00	
Sales Account			12,000.00
To record Cash Sale January 2019			
Trade Debtors		8,700.00	
Sales Account			8,700.00
To record Credit Sale February 2019			

- Now prepare the ledger/T accounts for these transactions

We record these transactions on our ledger/T accounts

		Cash Account			
Jan-19	Sales	12,000			
		Sales Account			
			Jan-19	Cash	12,000
			Feb-10	Trade Receivables	8,700
		Trade Receivables			
Feb-19	Sales	8,700			

We then close out these ledger accounts

		Cash Account			
19.01.19	Sales	12000	31.12.19	Bal C/D (or C/F)	12000
31.12.19	Bal B/D (or B/F)	12000			
		Sales Account			
			19.01.19	Cash	12000
31.12.19	Bal C/D (or C/F)	20700	10.02.19	Trade receivables	8700
		20700			20700
			31.12.19	Bal B/D (or B/F)	20700
		Trade receivables			
10.02.19	Sales	8700	31.12.19	Bal C/D (or C/F)	8700
31.12.19	Bal B/D (or B/F)	8700			

Next step is to prepare our trial balance

- Basically we list the balances (on either the relevant debit or credit side) from our ledger accounts into our trial balance. The total of all the debit transactions should equal the total of all the credit transactions

	Ms X		
	Trial balance at 31 December 2019		
		DR	CR
Sales			20,700
Cash		12,000	
Trade Receivables		8,700	
Total		20,700	20,700

Question

- Go to **www.menti.com** and use the code **9756 2105**

What is Inventory (also referred to as stock/stock in trade)

- Raw materials
- Work in Progress
- Finished Goods
- Goods purchased for resale

Developing our SOPL – Cost of Sales

- Up to now we have looked at the SOPL at a fairly high level (Income earned less Expenses incurred)
- Now we have to delve into this a little deeper.
 - Firstly we have our sales/income.
 - Next we have our cost of sales. Purchases is the obvious cost of sales (purchases of goods for resale). However we must also take into account our opening and closing inventory

Inventory

- Opening Inventory - This is carried forward from the prior reporting period (where it was the closing inventory figure)
- Closing Inventory - This is on hand at the end of the current reporting period

Using the example from the text: Consider a business selling kitchen tables which are purchased and then sold on. Normally they purchase 100 of these tables for €200 each each month and sell 100 units for €300 each month. However, in March 2020 they can purchase them for €50 each. Due to this substantial discount in March, instead of the normal 100 units that the business purchases, they purchased 900 units.

Their February figures would initially look like this:

- Sales $100 * €300 = €30,000$
- Purchases $100 * €200 = €20,000$ (the normal purchase price before March 2020)
- Gross profit €10,000

Inventory

Following this process, their initial March figures would look like this:

- Sales $100 * €300 = €30,000$
- Purchases $900 * €50 = €45,000$ (the purchase price in March 2020)
- Gross profit/(loss) (€15,000)

March shows a loss of €15,000 simply because they purchased such a large quantity, (due to the heavily discounted purchase price). This distorts the figures completely. What should be done is to **account for the purchases cost related to the units that were sold** – which were 100 units. In other words, determine the COST OF SALES.

The units that remain unsold are inventory/stock (which is an asset), so must be recognised accordingly.

Inventory

What exactly is Cost of Sales?

Include:

- Opening inventory
- Purchases
- Carriage inwards
- Manufacturing wages (if we are making or changing the goods to sell them)
- Manufacturing costs (if applicable)

Deduct:

- Closing inventory
- Purchases returns (purchases that are sent back – so reduced purchases)

Note – not all of the above will be in a question – but you need to know how and where to account for each category that arises

Returning to the previous example of kitchen tables. If advised that no kitchen tables were in inventory/stock at 29 February 2020 – i.e. everything previously purchased was sold. In March the business purchased 900 units at the discounted price of €50 and sold the regular 100 units for the normal price of €300. What is the Cost of Sales and what is the gross profit?

Solution

Cost of sales is:

- Opening inventory = 0 +
- Purchases = €45,000 +
- Carriage inwards = 0 +
- Manufacturing wages (if making or changing the goods to sell them) = 0 +
- Manufacturing costs (if applicable) = 0

LESS

- Closing inventory = (900 purchased less 100 sold) = 800 * €50 = €40,000
- Less Purchases returns = 0

Totalling all of the above gives cost of sales of:

$$0 + €45,000 + 0 + 0 + 0 - €40,000 - 0 = €5,000$$

- Can you explain this figure of €5,000?. Think about the concept of Cost of Sales – it is the cost of the goods sold in the period. The goods sold were 100 units and the cost was €50 per unit. So, yes, this figure makes perfect sense.
- The question asked to calculated cost of sales and gross profit.

Solution – gross profit

- Sales ($100 * €300$) – Cost of sales (€5,000) = €25,000
- Does this gross profit figure make sense to you? Goods were purchased for €50 each and sold for €300, making a gross profit on each unit of €250. $100 \text{ units} * \text{gross profit of } €250 = €25,000$.

Question

- **Question 1:**
 - What is cost of sales when?
 - Purchases = €65,000
 - Opening inventory = €21,000
- **Solution 1:**
 - Cost of sales is Opening inventory + Purchases = €86,000

Opening and Closing Inventory

Opening Inventory	Closing Inventory
This is carried forward from the prior reporting period (it was closing inv. Then)	This is on hand at the end of the current reporting period
It increases the cost of sales in this reporting period	It reduces the cost of sales in the current reporting period
Journal will be:	Journal will be:
DR Cost of Sales (increases expense) CR Inventory (reduces asset) To record opening inventory at e.g. 1/1/20	DR Inventory (increases asset) CR Cost of Sales (reduces expense) To record closing inventory at e.g. 31/12/20

Recording Cost of Sales in the SOPL

- Up to now we have kept this simply as purchases in the period.
(we didn't complicate this with opening or closing inventory)
- At the end of our accounting period we need to
 - Transfer opening inventory to our cost of sales/purchases account (either is fine and will get full marks)
 - Transfer closing inventory value of purchases and put into the inventory account (which is what type of account?)
 - Transfer our purchases to our cost of sales account (in practice this is not necessary as we include purchases in cost of sales
 - some IT systems do this)

Question on Cost of Sales

You have been provided with the following extract from the trial balance of John Walker as at 31 December 2018:

	DR	CR
Purchases	210,000	
Purchases returns		2000
Inventory at 1 Jan 2018	15,000	

The annual stocktake was undertaken on 31 December 2018 and stock on hand was valued at €20,000.

Requirement Prepare the journal entries to recognise the cost of sales expense in the SOPL for the year ended 31 December 2018.

Calculate the COS (cost of sales) for the period

Solution

- DR Cost of sales €15,000
 - CR Inventory €15,000
 - To transfer opening inventory to COS
-
- DR Inventory €20,000
 - CR Purchases €20,000
 - To transfer closing inventory from purchases
-
- $\text{Cost of sales} = \text{Opening inv (15k)} + \text{Purchases (210k)} - \text{Purchases returns (2k)} - \text{Closing inv (20k)} = \text{€203,000}$

Question on excel – record the following journals and then prepare the ledger bank account and close it out at the end of the period

Stationery store purchased stationary supplies for resale €5,000, which it paid for by cheque

They made debit card sales of €620

They paid electricity by direct debit €350

They paid staff wages by transfer €1,600

Solution

Journals	DR	CR
Purchases	5,000	
Bank		5,000
To record stationary for resale paid by cheque		
Bank	620	
Sales		620
To record cash sales		
Electricity	350	
Bank		350
To record DD for electricity		
Salary/wages	1,600	
Bank		1,600
To record wages paid bank transfer		

Question – write up the ledger bank account and close it out at the end of the period

Bank Account			
Sales	620	Purchases	5000
		Electricity	350
(this is our balancing figure)	6330	Wages	1600
	6950		6950
		Bal b/d	6330

Question

- Received and paid by DD for phone costs for the period €1,600
 - Purchased goods for resale €16,000 (on credit)
 - Paid for goods bought on credit last period by transfer €11,000
 - Sold goods to customers who paid by debit card €75,000
-
- 1 Prepare the journals
 - 2 Prepare and close out the ledger bank account

Financial Accounting

Chapter 5 - Fixed assets and Depreciation

Michelle Gleeson

What are fixed assets (also called property, plant and equipment (PPE))?

- Definition as per International Accounting Standard (IAS): tangible items that are held for use in the production of supply of goods or services, for rental to others or for administration purposes and are expected to be used during **more than one reporting period (this part of the definition should help you distinguish assets V normal expenditure – one goes to SOPL and other to ?)**
- Classes of assets that we may find include:
 - Property/buildings
 - Land
 - Plant
 - Equipment (usually plant and equipment are grouped)
 - Motor vehicles
 - Machinery
 - Fixtures and fittings

Recording fixed assets

- Presented under the category of non-current assets in SOFP
- Value is the cost (it gets more detailed as we study further)

Question to record the purchase of PPE

On 1 May 2020 Able Ltd purchased a machine for €120,000. The supplier of the machine offered 30 days' credit in relation to the purchase.

Able issued a cheque in payment for the machine on 30 May 2020.

Requirement:

Prepare the journal entries in relation to the purchase (on 1 May) of the asset and the payment on 30 May

Solution:

	DR	CR
Property, Plant and Equipment/Machine A/C	120,000	
Other Payables A/C		120,000
Purchase of new machine on 1 May 2020		
Other Payables A/C	120,000	
Bank A/C		120,000
Payment of supplier of new machine 30 May 2020		

Terms you need to know regarding depreciation

- **Depreciation** is a measure of the use of the asset over its useful life. Depreciation is an expense recognised in the SOPL of each reporting period in which the asset is used. Basically we are expensing the item over the useful life of the asset. Compare this to the purchase of stationary.
- **Useful life** is the period of time over which the entity intends to use the asset.
- **Depreciable amount** is the maximum amount of depreciation that an entity can charge over the useful life.
- Depreciable amount is the difference between the cost of the asset and its residual value. It is the total depreciation to be charged in relation to the asset over its useful life.
- **Residual value** is the amount the asset is expected to be sold for at the end of its useful life.

Question

- Ire Ltd purchased office furniture on 15 April 2020 for €10,000. It expects that this furniture will have a useful life of 8 years and at the end of this period be worth €2,000.

What is the:

- Useful life
- Residual value
- Depreciable amount

Solutions

- **Useful life** of the furniture is 8 years
- The **residual value** of the furniture is €2,000
- The **depreciable amount** is the amount that Ire Ltd can charge over the useful life, which is Cost – Residual Value - €8,000.
-
- Therefore €8,000 will be depreciated by Ire Ltd

Accumulated depreciation:

- The total depreciation charged to date in relation to the asset is presented in an accumulated depreciation account.

The journal to recognise the depreciation expense in a period is:

- DR Depreciation (expense)
 - CR Accumulated Depreciation (SOFP)
 - To record depreciation for the period e.g. 2020
-
- Now think back to ledger accounts. Do you expect a DR or CR balance on the Depreciation expense account? As it is a cost account, you expect a DR balance – which will then appear on the Trial Balance on the DR side

Posting depreciation and the impact to our accounts

- The total depreciation charged to date in relation to the asset is presented in an accumulated depreciation account.
- The journal to recognise a depreciation expense of €10,000 is:

	DR	CR
Depreciation (expense)	10,000	
Accumulated Depreciation		10,000

- Now think back to our ledger accounts. Do we end up with a DR or CR balance on Depreciation expenses? So what balance will be in our Trial Balance?
- Where will it appear in our SOPL?
- In the SOFP, PPE is be presented at its carrying amount; that is, the asset cost less the accumulated depreciation

Carrying amount

- Think about this - The purchase of the capital item has been recorded to the relevant asset account. Therefore, when considering both accounts together (Asset and accumulated depreciation), this provides the carrying amount of the asset, (also called Net Book Value - NBV). When this asset is presented in the SOFP, it will be presented as three figures - Cost, Less Accumulated Depreciation, totalling Carrying amount.
- Don't worry about this for now – it will become apparent when we do the SOFP – however think about it, so that it makes sense to you

Methods of Depreciation

- An organisation can either
 - Charge a full year's depreciation in the year of purchase of the asset and none in the year of disposal or
 - Time apportion depreciation in both the years of purchase and disposal.

For exam purposes you are generally told which format the organisation adopts and if not, charge a full year in year of acquisition and none in year of disposal.

- Methods:
 - Straight line.
 - Reducing Balance

Straight line method of Depreciation

Straight line.

First we calculate the depreciable amount (Cost – Residual Value)

The Depreciation charge each year is this amount X rate (which is the same as this amount/useful life of the asset) – you can think about it either way – just ensure it makes sense – then you will remember and understand it.

Reducing balance method of Depreciation

The depreciation charge is calculated as:

Year 1: $\text{Cost} \times \text{Depreciation rate}$

Subsequent years: $\text{Carrying amount} \times \text{Depreciation rate}$

Note: Carrying amount = Cost – Accumulated depreciation

If we bought an asset for 25k and depreciated using reducing balance method at 25%. What is the depreciation for years 1-4 and carrying amount for the same years?

	Depreciation charge	SOPF Cost	Accum dep	Carrying amount
Year 1	Dep Cost * 25% $20000 * 25\% = 5000$	20,000	5,000	15,000
Year 2	Carrying amount * 25% $15000 * 25\% = 3750$	20,000	8,750	11,250
Year 3	Carrying amount * 25% $11250 * 25\% = 2813$	20,000	11,563	8,437
Year 4	Carrying amount * 25% $8437 * 25\% = 2109$	20,000	13,672	6,328

Question – Straight line method

Watt Ltd purchased a machine for €40,000 cash on 1 January 2014. At the date of purchase, management estimated that the machine had a useful life of five years and a residual value of €Nil. Watt Ltd prepares its financial statements to 31 December each year.

Requirement

- Calculate the depreciation charge for each reporting period.
- Prepare the depreciation journal.
- Prepare the ledger accounts in relation to depreciation expense and the accumulated depreciation.
- What is the carrying amount of the machine at each reporting date from December 2014 to 2018?

Question – Reducing Balance method

On 1 January 2014 Teller Ltd purchased a delivery van for €30,000 by cheque. Management uses the reducing balance method to calculate the depreciation charge at a rate of 20% per annum. Financial statements are prepared annually to 31 December.

Requirement

- Calculate the depreciation charge for each reporting period.
- Prepare the depreciation journal for years ended 31 December 2014 and 2015.
- Prepare the ledger accounts in relation to depreciation expense and the accumulated depreciation for year ended 31 December 2014 and 2015.
- What is the carrying amount of the machine at each reporting date from December 2014 to 2015?

Disposal of an asset

- What is the disposal of an asset?
- When an asset is sold, the asset is de-recognised; this means it is no longer presented in the SOFP.
- De-recognition is required for a) the balance on the asset cost account and b) the related accumulated depreciation being posted to a disposal account.
- A profit or loss on disposal is calculated by comparing the proceeds from the sale with the carrying amount of the asset at the disposal date.

Sales proceeds > carrying amount → profit on disposal

Sales proceeds < carrying amount → loss on disposal

(This can also be determined through the ledger disposal account).

- Proceeds on disposal can be cash, cheque or trade-in allowance against the cost of a new asset.

Question on disposal

Tara Ltd sold an item of equipment on 31 December 2014 for €25,000 in cash.

The asset originally cost €40,000, and at the disposal date the balance on the accumulated depreciation account in relation to this asset was €16,000.

Requirement

- Calculate the profit or loss on disposal.
- Prepare the journal entries to recognise the sale of the asset.
- Prepare the ledger accounts in relation to the sale of the item of equipment.

Solution

Proceeds from Sale of Asset 25,000

Carrying amount of asset at disposal date
(€40,000 – €16,000) (24,000)

Profit / (loss) on disposal 1,000

Think about this so you understand it:

- If carrying amount is greater than the proceeds from the sale of the asset there is a Profit on disposal
- If carrying amount is less than the proceeds from the sale of the asset there is a Loss on disposal

Solution con't

	DR	CR
Cash Account	25,000	
Disposal Account		25,000
Cash proceeds for asset disposal		
Disposal Account	40,000	
Fixed Asset account		40,000
Transfer fixed asset cost to disposal account		
Accumulated Depreciation account	16,000	
Disposal Account		16,000
Transfer accumulated depreciation to disposal account		
Disposal account	1000	
Profit account		1000
Recognise profit on disposal		

Solution con't – ledger accounts

		<u>Equipment cost account</u>			
31-Dec	Bal b/d before dis	40,000	31-Dec	Disposal Accou	40,000
		<u>Accumulated Depreciation account</u>			
31-Dec	Dispoal	16,000	31-Dec	Bal b/d	16,000
		<u>Disposal Account</u>			
31-Dec	Equipment Cost	40,000	31-Dec	Cash	25,000
31-Dec	Profit on disposal	1,000	31-Dec	Accumulated D	16,000
		41,000			41,000

Summary

Accounting treatment of property, plant and equipment

Recognise the asset at cost when purchased.

Explain the accounting concept of depreciation

At the purchase date, the entity must decide:

- useful life of the asset;
- residual value;
- depreciation method to use – straight-line or reducing-balance;
- entity may have a policy to either:
 - charge a full year's depreciation in the year of purchase and none in the year of sale; or
 - time apportion depreciation in both the year of purchase and sale.

Account for the sale of an item of property, plant and equipment

- Open a disposal account;
- transfer the balance on the asset cost account and accumulated depreciation for the asset sold to the disposal account;
- recognise the proceeds from the sale of the asset;
- determine the profit or loss on sale of the asset.

Financial Accounting

Chapter 6 - Bad debts and allowances for Bad Debts

Michelle Gleeson

Student questions

Bad debts introduction

- Operating a business and providing credit to customers runs the risk of incurring debts that are not paid in full. This is why businesses run checks on potential customers and work at minimising potential bad debts such as:
 - Obtaining credit references from potential new customers
 - Setting a credit limit (possibly smaller for new/unknown customers)
 - Adhering to credit limits – not allowing further sales if customers would exceed their credit limit (or are causing trouble regarding payments)
 - Follow up promptly on any issues that arise e.g. chase payments quickly after credit period (which is usually 30 days but depending on the business could be longer e.g. 60 days etc)

Bad Debts

- If a customer becomes unable to pay the seller cannot continue to recognise the amount owing to them and must write off the balance (or part balance) owing to them. This is an expense to the SOPL.
 - DR Bad Debt expense account
 - CR Trade receivables account
 - To record the bad debt of Company X...

Question

- Winter Ltd has a balance on trade receivables of €86,300. However John Maguire went into liquidation on 28 December 2019 owing €1,480. Prepare the journal entries and ledger accounts in relation to the bad debt write off.

Solution

- Dr Bad Debts
- Cr Trade receivables

Write off bad debt Dec 19

		Bad Debts Expense A/C							
Dec-19	Trade receivables	1,480				This will be closed to SOPL			
		Trade Receivables A/C							
Dec-19	Bal B/D	86,300	Dec-19	Bad debts	1,480				
			Dec-19	Bal C/D	84,820				
		86,300			86,300				
31-Dec-19	Bal B/D	84,820				This will be presented under SOFP			

Bad debt Provision

- A provision is made when an organisation considers that a certain amount of customers won't pay their debts. We have 2 types of provision:
 - General – this relates to the total receivables balance and is typically a percentage of this
 - Specific – this relates to a particular customer (receivable account) – a provision is made as there is some uncertainty about the possibility of this customer paying their outstanding balance

Bad debt Provision

- **The provision for bad debts (for both types) are presented in SOFP). We net the balance on trade receivables and that on bad debts against each other (this makes sense!) and presented as a single figure within current assets. No journal is required to net them off**
- To post a provision we:
 - DR Bad debts expense A/C
 - CR Provision for bad debts A/C
 - To recognise a provision/increase in the provision for bad debts

Example - Provision

- F Swan had the following in their Trial Balance (TB) at 31 Dec 2019:

	DR	CR	
Trade receivables account	81,230		
Provision for bad debts account		1,980	
How do we present this in the SOFP?			
Statement of Financial Position F Swan as at 31 Dec 2019			
Current Assets:			
Trade receivables (81,230-1,980)		79,250	

General provision

- A general provision could be:
 - A provision set up for the first time
 - Increase in an existing provision
 - Decrease in an existing provision

The movement in the provision is posted to the bad debts expense account

- When we post a provision for the first time, it will be the full amount
- When increasing a provision, it will be the increase from the existing balance
- When decreasing a provision, it will be the decrease

Example:

- If John Peters wanted a closing balance in the provision account of 7% of trade receivables at 31 Dec 2020, when trade receivables was €62,000, but his current balance on his provision account is €3,100

Solution:

- 7% of trade receivables would be €4,340
- However, there is currently a balance on the account of €3,100
- Therefore, the journal required is for the difference (to bring the existing balance up to €4,340) = €1,240
- You already know how to post a provision journal:
- DR Bad debts expense A/C €1,240
- CR Provision for bad debts A/C €1,240
- To post the increase in bad debt provision to 7% of trade receivables

Question con't

- The balance on John's provision account is now €4,340 and the position is now as follows:

	DR	CR
Trade receivables account	62,000	
Provision for bad debts account		4,340

- How is the above presented in the SOFP?

Solution

- **Statement of Financial Position for J Peters as at 31 December 2020**
- **Current Assets:**
- Trade Receivables $(62,000 - 4,340) €57,660$

Example:

- If instead John Peters wanted a closing balance in the provision account of 3% of trade receivables at 31 Dec 2020. TR 62k.
Current provision 3.1k

Solution:

- 3% of trade receivables is €1,860
- However, there is currently a balance on the account of €3,100
- Therefore, the journal required is for the difference (to bring the existing balance DOWN to €1,860), so reverse the process for the prior journal posted – see journal for explanation

Journal to post a decrease in a provision:

- DR Provision for bad debts A/C €1,240 (this is a reduction in a liability account)
- CR Bad debts expense A/C €1,240 (this is a decrease in an expense account)
- To post decrease in bad debt provision to 3%
-
- The balance on John's provision account is now €1,860 and the position is now as follows:

	DR	CR
Trade receivables account	62,000	
Provision for bad debts account		1,860

- How is the above presented in the SOFP?

Solution:

- **Statement of Financial Position for J Peters as at 31 December 2020**
- **Current Assets:**
- Trade Receivables (62,000-1,860) €60,140

Specific provision

- This relates to a particular customer (receivable account) – a provision is made as there is some uncertainty about the possibility of this customer paying their outstanding balance
- As before we post as follows:
 - DR Bad debts expense A/C
 - CR Provision for bad debts A/C
- To recognise a specific provision for bad debts
- (note some texts use a specific provision account but this creates additional unnecessary ledger accounts. At all times, a business would be aware of what makes up the balance of a provision account):

Specific provision

- We may discover down the line that:
 - The customer definitely does not pay (specific provision realised) – see next slide
 - The customer does pay and provision no longer required. In this case we reverse our prior posting

Specific provision realised

- Once we have confirmation that a customer cannot pay the balance, we no longer need a specific provision, but rather we write off the trade receivables balance.
- At this point in time, the organisation has a specific provision. They would have posted a DR to the Bad debt expense account and a CR to the Provision for bad debts account.
- The DR to the bad debt expense account remains, as this is the entry we post when we write off a bad debt, so this step has already been completed.

Specific provision realised

- However, the CR to the Provision for bad debts account needs to be reversed (as it is no longer a provision). To reverse, post a DR to this account.
- So where is the corresponding CR – we covered this already at the start of the chapter. The Trade Receivables (asset account) balance is reducing, there is no longer any chance of receiving this €450. To reduce this account a CR is required for a decrease in an asset.
- Remember we already recognised this amount as an expense in the SOPL, when we set up the provision, so now we write the provision directly to the Trade Receivables account:
 - DR Provision for bad debts account
 - CR Trade Receivables accountTo recognise the realisation of the specific provision to the trade receivables

Example

- If a specific provision had been made for €450 for Unlikely Ltd. If Unlikely Ltd did not pay this balance but went into liquidation, (where there was no chance of recouping this amount), recognition is required by a write off of the relevant amount in Trade Receivables, instead of having a provision for a possible unpaid debt.
- At this point in time, the organisation has a specific provision for Unlikely Ltd for €450. They would have posted a DR to the Bad debt expense account and a CR to the Provision for bad debts account.
- The DR to the bad debt expense account remains, as this is the entry posted when writing off a bad debt, so this step has already been completed.
- However, the CR to the Provision for bad debts account needs to be reversed (as it is no longer a provision). To reverse, post a DR to this account.
-
- So where is the corresponding CR – this was covered at the start of the chapter. The Trade Receivables (asset account) balance is reducing, there is no longer any chance of receiving this €450. To reduce this account a CR is required for a decrease in an asset.
-
- DR Provision for bad debts A/C €450 (to eliminate the provision as it is now an actual bad debt)
- CR Trade Receivables A/C €450
- To recognise realisation of specific provision for Unlikely Ltd

Provision no longer required/ Potential bad debt recovered

- We could also have a situation where a customer whose balance had previously been written off subsequently makes a payment. This is a potential bad debt recovered.
- **Specific provision no longer required** – what is needed in this case is the reversal of the specific provision. If a specific provision had been made then the organisation would have posted a DR to the Bad debt expense account and a CR to the Provision for bad debts account. Should the customer pay this balance, then the we need to reverse the specific provision, so we post the opposite transaction:
 - DR Provision for bad debts A/C €X
 - CR Bad debts expense A/C €X
 - To reverse the specific provision for bad debts for Customer Y
- The actual payment itself will be recorded as normal
 - DR Bank €X
 - CR Trade Receivables €X
 - To record the payment from Customer Y

Bad debt recovered

There is also the possibility that a previously written off bad debt is paid (recovered)

The previous entry was:

- Dr Bad Debts expense account €X
- Cr Trade receivables account €X
- To record bad debt e.g. Dec 2020 for Customer Y

If this ultimately is paid then the accounts in question are the Bank and Bad Debt expense account (as a expense to the business was recognised, which no longer is correct)

- Dr Bank account €X (increase in asset)
- Cr Bad Debts expense account €X (decrease in expense)
- To record bad debt recovered for Customer Y

Financial Accounting

Chapter 7 - Accruals and Prepayments

Michelle Gleeson

Student queries this week

Recap of some class rules

- RESPECT
 - No tolerance for talking within class. Names will be reported to programme directors and you will be asked to leave the class.
 - Not fair to other students
 - No leaving during class until break time. Highly disrespectful to everyone else in the class. Only time it is ok if someone is ill

Introduction to accruals and prepayments

- Remember we spoke in Lecture 1/2 about revenues and expenses needing to relate to the period in question to correctly determine profit (or loss) for the period.
- How do we normally recognise an expense? When the invoice is received from the supplier. However an expense may be incurred but the invoice not yet received - think about your electricity bill which is bi-monthly.
 - Say it commenced on 1 Jan and ended 28 Feb. If we are doing accounts at 31 Jan then there is a month of expenditure that we have not recognised. So to recognise it, we put in an accrual for 1 month worth (estimated) of electricity costs

Accruals

- If our normal bi-monthly bill is €300, then we accrue 1 month electricity costs of €150
 - DR Light and heat/electricity (our expense account) €150
 - CR Accruals (liability account) €150

Accruals

- If our electricity runs from 15 Dec and ended 14 Feb. If we are doing accounts at 31 Jan for the full year, then there is 1.5 months of expenditure (half of December and all of January that we have not recognised. So to recognise it, we put in an accrual for 1.5 months worth (estimated) of electricity costs
- If our electricity runs from 20 Jan and ends 20 Feb. By the end of January we will have the bill up to 19 January and need to accrue the remainder of January. I would round this to 1/3 of a month – this will be perfectly acceptable to auditors and also for the exam. So to recognise it, we put in an accrual for 1/3 month worth (estimated) of electricity costs

Accruals

- Accruals are estimates. That is the very best that we can do in order to ensure our costs are in the correct period
- Other costs that we may accrue are:
 - Heating
 - Insurance
 - Phones (landlines and mobiles)
 - Legal costs – work done but not invoiced
 - Accountancy/audit work

Question - Accruals

- A business undertakes substantial repair work which will take 2 months to complete (Feb and March of 2022) and will cost €12,000 in total. The repair company will invoice when the work is complete at the end of March
- What should we do in the February accounts?
- Answer – accrue one month of work which is $\frac{1}{2} \times 12,000 = 6,000$

Accruals

- We will have a list of accruals at the start of each new period and need to review them to see if the invoices have since come in – they are usually only a timing matter
- If our invoice has come in – think about what we now have. We have an accrual for the estimated expense and then the invoice expense also. So we now eliminate the accrual (as it's no longer needed)
- How to we eliminate it. We reverse the posting.
- Taking electricity again, to reverse the posting we:
 - CR electricity account with the accrual amount
 - DR accruals account

Question

- At 1 January 2022 you have an opening accrual of 2k for heating costs which related to 2021. This remains in the accounts during the year. At 31 December you are missing bills for 3 months in your accounts and each month bill is for €1.5k What accrual journal will you post on 31 December 2022?
- What amount do you want accrued at 31 Dec 2022?
- What are your options?
- Option 1 (combining what you have already with what you need)
- DR L&H 2500
- CR Accruals 2500
- Increase accrual for heating costs (Oct – Dec 2022) OR Doing in 2 steps/Option 2:
- DR Acc 2000
- CR L&H 2000
- Reversing opening accrual for heating and
- DR L&H $1500 \times 3 = 4500$
- CR accruals 4500
- Post closing accrual heating (3 months)

Prepayments

- A prepayment happens when a charge has been paid in advance. We see this happening often with our insurance charge (also VHI etc). Say our insurance is due on 1 July 2021 for €6,000 for the year and we prepare accounts on 31 Dec 2021. What is the position at 31 Dec 2021?
 - A full year insurance charge hit our accounts.
 - What is this situation called?
 - How much should have hit to 31 Dec?
 - How can we account for this to ensure our accounts show the correct expenditure for the relevant period?
- DR Prepayment 3000
- CR Insurance 3000
- To show 6/12 relating to 2020 insurance as prepaid

Prepayments

- In our prior example we have €3,000 (we know that 6 months relates to the next year – up to 30 June 2022) prepaid insurance
- If we prepare monthly accounts, we review this figure every month. So by the end of January what do we have – how much is prepaid?
- Answer – only 5 months (so we need to reduce prepayment by one month – in other words the January amount used up)
- DR Insurance 500
- CR PP 500
- Or else Reverse the full prepayment for 6 months and post the prepayment for 5 months – a bit longwinded but do whichever you feel most comfortable with:
- DR insurance 3000
- CR PP 3000
- DR PP 2500
- CR Insurance 2500

Prepayments

- At the end of January we still have 5 months prepaid so we bring 1 month of our prepayment back into the expenditure account
 - What will be the balance on the prepayment account?
- At the end of Feb we still have 4 months prepaid, so we bring another month of our prepayment back into the expenditure account
 - What will be the balance on the prepayment account?
- What is the position at the end of March?
- What is the position at the end of April?
- What is the position at the end of May?
- What is the position at the end of June?
- If on 1 July we pay (and are invoiced for another year, and this time it costs €9,000. What do we do at the end of July?

Prepayments question

- When preparing our December accounts we notice that the insurance bill covering 1 Aug 2021 to 31 July 2022 was posted to the accounts for the amount of €24,000. How should this be accounted for in the December 2021 accounts?
- DR prepayment €14,000
- CR insurance €14,000
- Prepaid insurance 7 months X 24k = 14k

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- Code: **2429888**

Accruals and Prepayments

- Usually at the end of the year, the journals we post for accruals and prepayments reverse at the start of the next year (we set them up to reverse automatically), so we start the new year with a clean slate – this is not relevant for your exam, but just to explain how this operates in the workplace on our IT system. In our case, we are doing everything manually, in order to understand how it works

Income Due

A business may have carried out work for a customer which has not yet been invoiced by the end of the reporting period. This revenue must be recognised in the period in which it is earned/work is carried out. Since the work has not been invoiced, there is nothing showing in the accounts to recognise the revenue, yet it must be recognized in the period earned.

- To recognise this earned income:
- CR the revenue/sales account (CR an increase in income/revenue) and
- DR the income due account (asset account)

Income due question

- Verybusy Ltd has been working for a client since 1 Feb 2022. It is undertaking work worth 15k , which it hopes to complete by the end of April 2022. If you are preparing accounts to the end of March 2022, how will you account for this work?
- Answer – recognise income due of 2 months ($2/3 \times 15k = 10k$)
- CR revenue/sales account (CR an increase in income/revenue) and
- DR income due account (asset account)
- Recognise income due for Feb and Mar 2021

Income received in advance

- If a client paid us in January for both January and February work, then at the end of January we have February income received in advance. If this was **not** advance income, in other words if it related only to January, we would post as such:
 - DR Bank
 - CR Income
- However, we don't want to post the Feb amount to the income account yet, as it relates to a future period, so instead we post to the Income in advance account
 - DR Bank
 - CR Income in advance account
 - To recognize income received in advance

Work for 2months 30k and client pays 31 Jan
DR Bank 30k
Cr Income account 15k (Jan income)
CR Income in advance 15k (Feb income)

Income received in advance question

- What happens if a customer pays in November 2021 for both the November and December work that a business is carrying out for them. At the end of November there is a months' income received in advance. Assume the work being carried out for the customer is for €4,000 each for November and December and the customer paid the full €8,000 in November. The appropriate journal for November 2020 would be what?:

Solution

- DR Bank €8,000
- CR Income/revenue €4,000 (this income has been earned in November)
- CR Income received in advance €4,000 (this income has not yet been earned – it will be in Dec)
- To record the November 2022 payment relating to both income earned and the income received in advance

Question

- The balance on the accruals account at 1 January 2022 was €1,000 and this reflected the December 2021 charge (as the bill had not been received at that date). Electricity bills were received in 2020 covering 1 December 2021 to 30 November 2022 for €2,000 per month. No bill has yet been received for December 2022 and due to significant work being done, is estimated to be €4,000.
- What journals are required at 1 January 2022 and 31 December 2022 to correctly account for electricity charges.
- Can you comment on the December 2021 actual V accrued cost?
- What charge will appear for electricity in the 2022 SOPL?

Solution

- DR Accruals account €1,000
- CR Electricity account €1,000
- To reverse the 1 January opening accrual (relating to December 2021 electricity)

It transpires that the actual bill for Dec 2021 was €2,000 as per the information provided in the question, so 2019 was under-accrued. Accruals are best estimates at the time. This means that an additional 1k will be charged in 2022 accounts, which actually relates to 2021. You just need to be aware of this.

Dec 2022 electricity:

- DR Electricity account €4,000
- CR Accruals account €4,000
- To accrue for December 2022 electricity not yet invoiced

Total charge for 2022 is made up of:

- Reversal of 2021 accrual (€1,000)
- Invoices received during 2022 €24,000
- Accrual for December 2022 €4,000
- Totalling €27,000 (note that €1,000 relates to 2021 under-accrual as mentioned above). This €27,000 is what will appear in the SOPL for 2022

Financial Accounting

Lecture 8 – Preparing Financial Statements

Michelle Gleeson

Student queries

What is a sole trader and how do we become one

- A sole trader is a business operated and owned by a single individual (therefore all profits of the business goes to the individual)
- To set up a business, the only action that needs to be taken is to inform the revenue authorities of the intention to be self-employed and complete the appropriate paperwork

What are the advantages of a sole trader

- Profit after tax earned by the business is attributable completely to the owner
- Easy to establish and/or cease the business (compared to a company)
- Quick decision-making and ability to implement change – compare this to a large organisation where a lot of meetings and work may have to take place before any decision is agreed
- Less compliance costs due to reduced filing requirements for sole traders compared to other types of business, such as a company
- What other advantages do you think there are?

Disadvantages of a sole trader

- The owner is liable for the debts incurred by the business (unlimited liability)
- No one else involved in decision-making
- Responsibility all lies with the individual
- Can be difficult obtaining loans – we heard this so much in the media and particularly so since the central bank tightened up on lending
- The individual may not possess all the talents required to run a successful business e.g. marketing the business, collecting payments from customers etc
- Taxation rates are generally higher than that of a company
- What other disadvantages can you think of?

Advancing from the Trial Balance

- Chapters 2 and 3 you prepared a trial balance (listing of all the balances (on either the relevant debit or credit side) from the ledger accounts. The total of all the debit transactions should equal the total of all the credit transactions (due to what?)
- The relevant accounts that are represented in the SOPL are those relating to Income and Expenditure. These accounts get closed out and will start afresh (with a zero balance) in the new accounting period. How do you commence the SOPL ? Take all the income and expenditure account balances from the Trial Balance and present them (according to the sample layout next slide) in the SOPL. The resulting profit/loss for the period, will then be reflected in the Statement of Financial Position
- The ledger accounts that feed into the SOFP will not be closed out e.g. fixed asset accounts, bank account, loans and so on – these will have opening balances at the start of the next period (basically the Bal b/d figure from closing out each of these accounts). Think about the logic of this. Our closing bank balance becomes our opening bank balance, likewise with accruals, prepayments etc.

Sample Statement of Profit or Loss SOPL

Business name e.g. Joe Bloggs

Statement of Profit or Loss for the year ended 31 December 2021

	€	€	€
Sales		X	
Less Sales returns		(X)	X
Less Cost of Sales:			
Opening Inventory		X	
Purchases	X		
Less purchases returns	(X)	X	
Add Carriage inwards		X	
		X	
Less Closing inventory		(X)	
Cost of Sales			(X)
Gross Profit			X
Less Expenses:			
Wages and Salaries		X	
Light and heat		X	
Rent and rates		X	
Depreciation		X	
Stationery		X	
Legal/professional fees		X	
Other accounts		X	
Total expenses			(X)
Net profit/(loss)			X/(X)

SOPL

- Note – the account names are not prescribed – each business will have its own particular accounts, appropriate to the business in question.
-
- The Net profit/loss figure will feed into the SOFP (see Equity and Reserves section)

Statement of Financial Position

Business name e.g. Joe Bloggs

Statement of Financial Position as at 31 December 2021

	Cost	Accumulated Depreciation	Carrying Amount
Non-Current Assets			
Buildings	X	X	X
Plant and Machinery	X	X	X
Motor Vehicles	X	X	<u>X</u>
			X
Current Assets			
Inventory		X	
Trade Receivables		X	
Prepayments		X	
Bank		<u>X</u>	<u>X</u>
Total Assets			X
Equity and Reserves:			
Capital		X	
Net profit/(loss) from SOPL		X/(X)	
Drawings		<u>(X)</u>	X
Non-current Liabilities:			
Bank loan			X
Current Liabilities:			
Trade payables		X	
Bank overdraft		X	
Accruals		<u>X</u>	<u>X</u>
Total Equity and Liabilities			X

SOFP

- Note – the Total Assets will equal the Total Equity and Liabilities. If they don't, go back and check that you have included all accounts provided in the trial balance and accounted for all adjustments through to the SOPL and SOFP.

Various things to consider in a question:

- What is the depreciation method and depreciation policy regarding assets purchased or sold during the reporting period. Also don't forget depreciation journals impact (increase) accumulated depreciation (which reduces carrying amount)
- If you have fixed asset additions - this increases the asset cost and depreciation would be required on these.
- Disposals reduce the asset cost – as covered in Chapter 5
- Other common adjustments (which have been covered in prior chapters)
 - accruals and prepayments
 - bad debts and provision for bad debts including also write offs/recovered etc
 - accounting for errors/omissions or corrections
- Drawings are not an expense presented in SOPL as they are a reduction in the capital. (look where it is presented)
- A typical type of question presents a Trial Balance, with several transactions that have not yet been accounted/correctly accounted for. What is required of these are journal entries and/or ledger accounts to make the required adjustments and then a SOPL and SOFP. Questions generally do not ask for another trial balance (after adjustments) but this could be requested.

Think about this - Any adjustments will impact on the account balance already presented in the question e.g. If the light and heat balance in the Trial Balance was €8,600 but an electricity accrual is required for €700. This will increase the light and heat balance (as you DR light and heat by €700) to €9,300, as well as increasing the accruals balance by €700. The light and heat charge that is reflected in the SOPL is the updated correct balance of €9,300.

Now going to look at a past exam question and go through it step by step

- This is now all the material covered which can feed into the compulsory Q1 in the exam.
- Don't forget everything you have learnt so far, can also appear in another question too (or part of a question)
- Going to look at Q1 from a past paper

Financial Accounting

Lecture 7 Bank reconciliations & introduction to cash flows

Michelle Gleeson

Brief introduction to simplified cash flows

- When you are managing or running your own business you will need to plan ahead with your cash e.g.
- Will you be able to pay your wages this week, next week and so on
- Will you be able to repay the large creditor when it falls due in 4 weeks time
- One of your large customers who owes you a substantial amount has forgotten to pay and is gone on holidays for 3 weeks, so how will you manage
- Do you need to organize an overdraft/loan?
- Have you additional funds that you can put on deposit (ignoring the fact that the interest rate is so low)

Brief introduction to simplified cash flows

- What you need to do is prepare a basic cash flow showing all your cash inflows (Customer (trade receivables) payments, Revenue refunds, Capital introduced, Expected cash sales, Receipt of grant and so on....
- Then you show all your cash outgoings (Wages, Payments to trade payables (suppliers), Loan repayments, Credit card payments, Payment of bills e.g. light and heat etc, Car repayments and so on.....
- Ideally you do this for the forthcoming month and separate it into each week – see sample on next slide. This shows if you have a positive or negative position each week, so that you can plan to manage this
- This is just a basic cash flow, for your own use in the business. In advanced accounting you will look at preparing Statements of Cash Flows (which follow a prescribed format)
- Note – opening balance for each week is the prior week closing balance
- This helps you to plan your business operations for the coming weeks – note that this is a cash and not accounting position (if you buy goods on credit this week, it won't come into your cashflow until you are paying for these goods)

Introduction to Account				
Basic cash flow for March 2020				
	Wk ended 7 Mar	Wk ended 14 Mar	Wk ended 21 Mar	Wk ended 28 Mar
Opening balance	1,712	- 11,178	23,122	40,122
Cash inflows:				
Customer receipts	12,000	45,000	27,000	4,500
Grants (monthly)	1,000	1,000	1,000	1,000
Donations from the public	500	500	500	500
Any other receipts		1,500		
Total inflows	13,500	48,000	28,500	6,000
Cash Outflows:				
Supplier payments	23,000	11,000	9,000	18,000
Loan repayments	2,500	2,500	2,500	2,500
Direct debits	890	200	-	45
Lease payments				1,900
Bills				350
Wages				24,000
Total outflows	- 26,390	- 13,700	- 11,500	- 46,795
Net cash position	- 11,178	23,122	40,122	- 673

Bank reconciliations

- A business has their own bank account (the ledger account that they have been posting journals to, after each transaction occurred).
- In addition there is the bank statement (from the bank) for the relevant period – this balance is always different to our balance – WHY?

Bank reconciliations con't

- usually because of timing differences (cheque payments we have made to suppliers that they have not yet brought to their bank – this is recorded on our side but the bank have no knowledge or records yet of this)
- but also because we might not yet be aware of some transactions (e.g. customer payment direct to our bank, bank applying bank charges, cheque payments we have made to suppliers that they have not yet brought to their bank)

Remember that the bank will show our transactions on the opposite side to where we show them (debits and credits). Think about this. If we have money in our bank we show this as a debit balance – DR increase in an asset. This will be a credit on the bank side as they owe this money to us – it's a liability for them

Why prepare bank reconciliations?

- We need to reconcile our bank account with the bank statement. We do this for a number of reasons:
 - To ensure all transactions posted by the bank are correct
 - To identify any items gone through the bank that we are not aware of
 - To identify any possible errors that we may have made (e.g. a cheque that we gave a supplier for €450 and we recorded it in error of €540. It will be €540 on the bank statement and this difference will make us check and correct our own transaction

Bank reconciliation process

In a question/in a business you are provided with the business bank account as well as the bank statement for the entity

To commence a reconciliation – start by working through each line item as follows:

1. Identify items on the bank statement not yet posted to the bank account for the business and post these to the bank ledger account (start from the existing closing balance and adjust for the items not yet accounted for. Don't redo the full account again) – this will provide a new closing bank balance for the business

2. Identify items on the bank account but not yet on the bank statement – these are generally the timing differences referred to above – these will be listed on the bank reconciliation, which starts with the balance as per bank statement and finishes with the balance as per bank account

Basically after you tick all items common to both, you will firstly need to update your bank ledger account as per 1 above and then prepare the bank rec with the reconciling items (that haven't yet hit the bank account, as per 2 above)

Question from text Joely Ltd had the following bank account for January 2021

Bank A/C					
01/01/21	Bal B/D	2,045	01/01/21	Cheque 120	1,480
13/01/21	J Donovan Trade Rec (TR)	1,510	01/01/21	Cheque 122	390
18/01/21	F Weston TR	16,000	10/01/21	Cheque 121	560
25/01/21	P Peters TR	800	12/01/21	Cheque 123	100
			31/01/21	Cheque 124	630
			31/01/21	Bal C/D	17,195
		<u>20,355</u>			<u>20,355</u>
31/01/21	Bal B/D	17,195			

Joely received the following bank statement for Jan 2021

	DR	CR	Balance
1 Jan balance carried forward			2,045
4 Jan Lodgement P Peters		800	2,845
5 Jan Cheque 121	560		2,285
15 Jan Cheque 122	390		1,895
25 Jan Bank fees	100		1,795

Putting them together on 1 slide for review:

		Bank A/C			
01/01/21	Bal B/D	2,045	01/01/21	Cheque 120	1,480
	J Donovan Trade Rec				
13/01/21	(TR)	1,510	01/01/21	Cheque 122	390
18/01/21	F Weston TR	16,000	10/01/21	Cheque 121	560
25/01/21	P Peters TR	800	12/01/21	Cheque 123	100
			31/01/21	Cheque 124	630
			31/01/21	Bal C/D	17,195
		<u>20,355</u>			<u>20,355</u>
31/01/21	Bal B/D	17,195			

	DR	CR	Balance
1 Jan balance carried forward			2,045
4 Jan Lodgement P Peters		800	2,845
5 Jan Cheque 121	560		2,285
15 Jan Cheque 122	390		1,895
25 Jan Bank fees	100		1,795

Solution

- To commence a reconciliation – start by working through each line item as follows:
- Identify items on the bank statement not yet on the bank account for the business and post these to the bank ledger account (start from the existing closing balance and adjust for the items not yet accounted for. Don't redo the full account again) – this will provide a new closing bank balance for the business – The only item in this case is bank fees of 100 – see bank ledger account updated below for this
- Identify items on the bank account but not yet on the bank statement – these are generally the timing differences referred to above – these will be listed on the bank reconciliation. Items highlighted:
 - Lodgement – Donovan
 - Lodgement – Weston
 - Cheque 120
 - Cheque 123
 - Cheque 124

Solution con't. Updating the bank account for the fees not posted:

Bank A/C			
31/01/21	Bal B/D	17,195	
			31/01/21 Bank fees 100
			31/01/21 Bal C/D <u>17,095</u>
		<u>17,195</u>	<u>17,195</u>
31/01/21	Bal B/D	17,095	

Bank reconciliation for Joely Ltd for January 2021

		1,795
Balance as per bank statement at 1 Jan		
Add cheques received from customers but not yet presented to our bank:		
J Donovan	1,510	
F Weston	16,000	17,510
Less cheques to suppliers not yet presented to bank:		
Cheque 120	1,480	
Cheque 123	100	
Cheque 124	630	(2,210)
Balance as per updated bank account		17,095

Financial Accounting

Introduction to Regulatory and conceptual frameworks for financial accounting – Note not in text book

Michelle Gleeson

What makes up a set of financial statements?

- Statement of Profit or Loss SOPL
- Statement of financial position SOFP
- Statement of changes in equity SOCIE (you only need to know the name for exam purposes as we don't study this)
- Statement of cash flows SOCF (we don't study a statement of cash flows either – so know the name as one of the statements making up the financial statements)
- In addition we will have notes to the accounts
- There will be other information such as the chairperson's and director's reports

Regulatory Framework

- The regulatory framework that impact the preparation and presentation of our financial statements include company law, accounting standards and regulations of stock exchanges
- Company law – In Ireland we are governed by the Companies Act 2014 as well as European Union and Community Regulations and Standards
- Accounting standards – We are governed by International accounting standards (IAS's) and International financial reporting standards (IFRS's)

Standard Setting Process

- The IFRS foundation was established to develop a single set of high quality understandable enforceable and globally accepted accounting standards and to promote and facilitate adoption of these standards.
- It is a 3-tiered governance structure:
 - IASB (independent standard setters)
 - IFRS Foundation trustees (who are in turn overseen and governed by the monitoring board) and
 - IFRS Foundation monitoring board – which ensures the public accountability of the foundation

Standard Setting Process

- The standard setting of IFRS are mainly conducted by the IASB (International Accounting Standards Board), which is responsible for:
 - Development and publication of IFRS standards and
 - Approving interpretations of IFRS standards
- The process is built on the principles of transparency, full and fair consultation and accountability

Standard Setting Process

- The IASB follows 4 steps in its standard setting process:
 - Agenda consultation
 - Research programme
 - Standard setting programme
 - Maintenance programme

Standard Setting Process

- When the IASB decides to amend or issue a new standard a review is undertaken of:
- The research
- The discussion paper with comments from the public consultation and
- Any proposal to resolve the issue identified in the other phases

Conceptual framework for financial reporting

- Aim is setting out the objectives of and concepts for, general purpose financial reporting
- Chapter 1 – Objective of financial reporting is to set out information about the financial performance and position of a reporting entity to assist users of the financial statements. Under this section we deal with accrual accounting (see slide number 13)
- Chapter 2 – Qualitative characteristics of Useful Financial Information – we must have relevance and faithful representation
- Chapter 3 – Financial statements and the reporting entity – to allow users to access the stewardship of the entity's economic resources for the reporting period

Conceptual framework for financial reporting

- Chapter 4 – The elements of financial statements – these are assets, liabilities and equity in relation to financial position and income and expenditure in relation to financial performance
- Chapter 5 – Recognition and Derecognition
- Chapter 6 – Measurement – there are a variety of measurement bases:
 - Historical cost
 - Current value (which incorporates fair value, value in use (for assets)/fulfillment value (liabilities) or current cost)
- Chapter 7 – Presentation and Disclosure
- Chapter 8 – Concepts of Capital and Capital Maintenance. A business could have either:
 - Financial capital maintenance (represents the amount of money invested – go back to L1 for this concept which was presented in a diagram) or physical capital maintenance (e.g. number of units produced per period e.g. day – this uses a cost measurement base). Whichever is used depends on the needs of the users of financial statements

Definitions and explanations

- Asset – defined as an economic resource controlled by the entity as a result of past events (it is a right that has the potential to produce economic benefits)
- Liability – defined as a present obligation to transfer an economic resource as a result of past events. 3 conditions must exist for a liability to exist – an obligation, obligation to transfer economic resources and the obligation is a present one arising from past events
- Classification is made at initial recognition for both financial assets and financial liabilities
- Financial Instrument – is a contractual obligation that gives rise to a financial asset in one entity and a financial liability/equity in the other entity e.g. If you purchase shares in UCC Ltd, this gives rise to a financial asset for you and equity for UCC Ltd

Definitions and explanations

- Categories of financial assets
 - Fair value through profit or loss (FVTPL)
 - Fair value through other comprehensive income (FVTOCI)
 - At amortised cost
- Categories of financial liabilities
 - Fair value through profit or loss (FVTPL)
 - Amortised cost
- Classification is made at initial recognition for both financial assets and financial liabilities

Definitions and explanations

- Accruals accounting –
 - As before we know that financial statements are prepared on the accruals basis
 - Measure costs incurred and income earned (not paid) in the relevant period
 - Present these in the SOPL/SPLOCI
 - SOPL indicates the results of the organisation's operations

We operate an accruals basis of accounting but just be aware that a cash receipts basis of accounting is another possibility

How do we measure items that we recognise in the financial statements

- Historical value (e.g. the cost that we paid for assets or the amounts we pay for liabilities)
- Current value (reflects the value at a particular point in time).
There are three value bases for current value:
 - Fair value
 - Value in use(for assets) and Fulfilment value (for liabilities)
 - Current cost

Choice of accounting framework

- International Accounting Standards
- UK and Irish GAAP – when an organisation is not required to prepare financial statements under International Accounting Standards, it can either adopt them or else adopt Irish and UK GAAP

Capital

- The capital is the amount invested in a business
- Capital maintenance involves profit being added to the equity and a loss reducing the equity and drawings reducing the equity (just like we do in the Equity section of the SOFP)

Loans and Hire Purchase

- Loans – taking out a loan requires regular interest repayments and before borrowing a business must consider the commitment involved and their ability to repay for the duration of the loan. Loans may require deeds or security by the bank/institution. The loan is recognised as a liability and the interest as an expense in the period to which it relates
- Leasing or hire-purchase – Hire purchase requires a large initial deposit and repayments/installments will be periodically repaid (which include capital and interest). The asset does not belong to the purchaser (it belongs to the provider of the HP) until the final installment is paid.

Ethics and the Accountant

- Since accountants are professionals they must ensure their actions are in the interests of the public and do not damage the reputation of the accounting profession.

The Fundamental Principles in the code of Ethics are:

- Integrity – act honestly
- Objectivity – do not allow undue influence in the discharge of duties
- Professional competence and due care – maintain professional knowledge and skill
- Confidentiality
- Professional behaviour

Possible threats to an accountant's ability to comply with the fundamental principles in the Code of Ethics

- Self – interest (e.g. making decisions to benefit them personally)
- Self - review (making a recommendation and then being involved in reviewing it – i.e. no segregation of duties)
- Advocacy – making recommendations for a certain action is a problem if it is false or misleading
- Familiarity – this could create bias
- Intimidation – this could influence decisions made by the accountant

Safeguards to prevent the above:

- Obtain advice from an independent professional
- Use a formal dispute resolution service
- Seek legal advice

Financial Accounting

Ch 10 Accounting for errors

Michelle Gleeson

Student queries

Types of errors that can be made

- An entry has not been recorded at all – error of omission
- An entry was posted to the wrong account but the correct type of account – error of commission
- A journal is posted to the wrong account and wrong type of account – error of principle
- Incorrect amounts posted – error of original entry

Types of errors that can be made

- **Explaining this further**
- Error of omission - An entry has not been recorded at all e.g. the business paid a direct debt for electricity and never recorded this payment
- Error of commission - An entry was posted to the wrong account but the correct type of account e.g. the recording/posting of repairs to the rent account in error (they are both expense accounts)
- Error of principle – The journal is posted to the wrong account and wrong type of account e.g. repairs to machine posted in error to the machine cost (asset) account
- Error of original entry - Incorrect amounts posted e.g. a cheque issued to a supplier for €1,900 but only posted as €900

How do we account for such errors? Dealing with an error of omission:

- An entry has not been recorded at all e.g. the business paid a direct debt for electricity and never recorded this payment (no invoice has been recorded)
- To correct - post this transaction now, identifying the correct accounts to debit and credit
- Dr Electricity
- CR Bank

Dealing with an error of commission

- An entry was posted to the wrong account but the correct type of account e.g. the recording/posting of repairs to the rent account in error (they are both expense accounts)
- To correct - debit the correct expense account and credit (to reverse) the incorrect expense account
- Dr Repairs (expense) and
- CR Rent (expense) – to correct the prior incorrect posting to rent in error

Dealing with an error of principle

- The entry journal is posted to the wrong account and wrong type of account e.g. repairs to machine posted in error to the machine cost (asset) account
- To correct - Reverse the entry posted to the incorrect account and post to the correct account
- DR repairs (expense) account)
- CR machine cost (asset)account

To correct prior posting to incorrect account

Dealing with an error of original entry

- Error of original entry - Incorrect amounts posted e.g. a cheque issued to a supplier for €1,900 but only posted as €900
- To correct - You can either post the remaining amount or else reverse the full incorrect transaction and post the correct transaction in full:
- **Either:**
 - DR Trade payables €1,000
 - CR Bank €1,000 to post the amount not previously posted
- **OR**
 - DR Bank €900
 - CR Trade payables €900 to reverse the prior incorrect entry
- **AND**
 - DR Trade payables €1,900
 - CR Bank €1,900 to post the correct amount in full

Summary

- Basically you are using your journal entries to correct the position (which is not correct).
- Think about what has happened and what should have happened – this is similar to the way you work out the closing provision on your trade receivables – you look at what is currently in the trial balance. You calculate what you should have and post the journal to get to the required figure

Question

- UCC Ltd upon reviewing their year-end accounts, discovered the following errors/omissions:
- A purchases invoice (for goods bought on credit) from a supplier was entered in the accounts as €370 but should have been entered as €730
- Bank interest charged on 31 December of €950 was not posted to the accounts
- The owner withdrew goods from the business worth €250 which was not recorded in the accounts
- A customer paid €2,130 which was posted to the accounts. Their balance outstanding was €2,500. The customer insists that the remaining balance is written off as the goods were not up to standard. You have been instructed to write off the remainder balance
- A cash payment of €30 made for sandwiches for the board meeting was incorrectly posted to repairs account instead of board expenses account
- A credit supplier invoice for repairs was incorrectly posted in the accounts as €5,200, which should have been entered as €2,500.
- Prepare journals to correct the above transactions for UCC Ltd

Solution

	DR	CR
DR Purchases		360
Cr Trade payables		360
To correct the difference between 730 and 370		
DR Bank interest (expense)	950	
CR Bank (asset)		950
Bank interest not [posted]		
DR Drawings (capital)	250	
Cr Purchases (expense)		250
Withdrawal of goods by owner not previously recorded		
DR Bad debt expense	370	
Cr Trade Receivables (asset)		370
To write off remaining balance on customer account		
DR Board expense account	30	
CR Repairs expense		30
To post to the correct account		
Dr Other payables (liability)	2700	
CR repairs (expense)		2700
To reduce the prior error in posting from 5,200 to 2,500		

Exam Question

Financial Accounting

Chapter 9 – Accounting for VAT

Michelle Gleeson

Student queries this week

- CA exam fail and consequence with regard to winter etc
- Layout of exam

Feedback from CA exam – areas where marks were lost

What is VAT?

- VAT stands for Value added tax and it is an indirect tax on transactions. While the final customer bears the cost or burden of VAT, they do not physically pay it over to the tax authorities, as it is done on their behalf by the various businesses involved in the relevant chain of transactions. VAT is added on at each stage of the process, but the final customer bears the charge.
- A business charges and pays Revenue for VAT on sales. (Note the rate of vat depends on the good or service)
- A business is charged VAT on purchases. If they are a vat registered business (in a VAT recoverable position) they are entitled to claim back this vat (unless this is specifically disallowed e.g. food, drink, petrol).
-
- Therefore, the net Vat due owing is the vat on the “value added” to the good/service

Example to demonstrate Value Added

- Assuming a VAT rate of 23% on stationery
- If a business purchases stationery for €15 + vat, they will pay €3.45 vat (23%)
- If they sell on that stationery to a customer and charge €25 + vat, they will receive €5.75 vat from the customer.
- The net vat owed is the vat on sales less the vat on purchases i.e. €2.30
- This equates to the vat on our profit element (i.e. the value added to the stationery/goods) (23% of our profit of €10)

Example – chain of transactions

- (use VAT rate of 23% for chocolate)
- Manufacturer Ltd sells a large box of chocolate to Wholesaler Ltd for €100
- Vat is charged on this at 23%.
- Total cost €123
- Wholesaler Ltd sells this box to Retailer Ltd for €125 + vat (profit of €25)
- Vat is charged at 23%
- Total cost €153.75
- Retailer Ltd sells this chocolate to the final customer for €180 + vat (profit of €55)
- Vat is charged at 23%
- Total cost €221.40
- The final customer bears the cost of VAT which is €41.40. VAT was charged at each stage in this chain of transactions. Each business involved owes the VAT on sales and can deduct the VAT on purchases.

Non-deductible VAT or a VAT exempt business

- Some goods/services are classed as non-deductible for VAT such as food, drink, entertainment, petrol (unless used as stock in trade).
- Some businesses are not VAT registered as they may be providing exempt goods/services or else are below the VAT threshold for registration.
- In all of these instances, the VAT is not reclaimable or recoverable. In this situation, the cost to the business of the goods/services is the VAT inclusive cost.

Question

- Example: If a business purchased wine in December 2022 in the off license for the staff party costing €1,000 + VAT at 23%, which was paid by cheque. The journal to record this transaction is:
 - DR Staff entertainment €1,230
 - CR Bank €1,230
 - To record the purchase of wine for staff party in December 2022
- If this business went to the stationery store and purchased €1,000 + VAT at 23% worth of stationery, which was paid by cheque. What is the journal to record this transaction?
 - DR Stationery €1,000
 - DR VAT €230
 - CR Bank €1,230
 - To record the purchase of stationery from Stationery Store X in December 2022
- Do you understand the 2 different treatments of VAT and why?

VAT

- A VAT account has been introduced. If you consider VAT as a liability account, a CR would reflect an increase in a liability and a DR a decrease. A DR was posted above (decrease in liability), as the business is owed this VAT back. A DR balance would mean a refund due to the business and a CR balance would mean an amount owing to Revenue/HM Revenue and Customs.
- Electricity has a VAT rate of 13.5%. If an electricity bill was paid from the business bank account amounting to €1,500, how would we journal this transaction?
- Actual electricity cost is $€1,500 * 100/113.5 = €1,321.59$ (amount before VAT/VAT exclusive)
- VAT element of cost is $€1,321.59 * 13.5\% = €178.41$.
- **OR** This VAT amount can be calculated in one step as follows: $€1,500 * 13.5/113.5 = €178.41$. It is important that you understand how to arrive at the VAT amount when dealing with a VAT inclusive cost.

VAT inclusive or exclusive

- Watch for figures being VAT **inclusive or exclusive**. If referring to a payment as above with the electricity payment, then this is a VAT inclusive figure.

Questions

- Furniture costs €2,500 (inclusive of vat at 23%). What is the VAT amount?
- **Solution:**
- Pre VAT/VAT exclusive amount is $€2,500 * 100/123 = €2,032.52$
- VAT amount is $€2032.52 * 23\% = €467.48$
- **Or else do this in one step**
- VAT amount is $€2,500 * 23/123 = €467.48$

Q2

- Stationary costs €350 exclusive of vat, what is the VAT amount?
- **Solution:**
- VAT amount is $€350 * 23\% = €80.5$

Vat returns

- A VAT return is Vat on Sales (output VAT), less VAT on purchases (Input VAT)
-
- If VAT on sales is greater than VAT on purchases, the business is in a VAT payable situation – it owes VAT to the tax authority
-
- If VAT on sales is less than VAT on purchases, the business is in a VAT repayable situation – it is owed VAT from the tax authority
-

Question

- Guitars Ltd supplies musical instruments which are liable to vat at 23%. What is the vat liability if the income and expenses were as follows (assume 23%, unless told otherwise)?
- Sales (vat exclusive) 60k
- Expenses (vat inclusive)
 - Goods for resale 25k
 - Petrol 1k
 - Accountancy fees 3k
 - Entertainment 1.5k

Solution

	€	€
VAT on sales:		
(60,000 * 23%)		13,800
VAT on purchases:		
Goods for resales (25,000 * 23/123)	(4,675)	
Petrol – non deductible	N/A	
Accountancy fees (3,000 * 23/123)	(561)	
Entertainment – non deductible	N/A	<u>(5,236)</u>
Net Vat payable (repayable if purchases are higher than sales)		8.564

Exam question 2021 – 7 marks (how long???)

- Classics Ltd supplies wooden furniture which is liable to vat at 23%.
What is the vat liability for a relevant period, if the income and expenses were as follows (assume 23%, for all transactions)
- Sales (vat exclusive) €30,000
- Expenses (all vat inclusive):
 - Goods for resale €19,000
 - Petrol €1,000
 - Stationery €3,000
 - Staff party €1,500

Solution

	€	€
VAT on sales:		
(30,000 * 23%)		6900
VAT on purchases:		
Goods for resales (19,000 * 23/123)	-355 3	
Petrol – non deductible	N/A	
Accountancy fees (3,000 * 23/123)	-561	
Entertainment – non deductible	N/A	<u>-4114</u>
Net Vat payable		2786

Financial Accounting

Chapter 8 Accounting for wages and salaries

Michelle Gleeson

Wages and salaries

- Wages and salaries expenses are charged to the Statement of Profit or Loss (SOPL)
- When we get offered a job we agree and our contract states a gross pay/salary
- However there are many deductions from this gross pay such as:
 - Income tax, PRSI, USC, Health Insurance premium (maybe)
- We actually get paid our net pay amount (lower amount than gross pay – unless we were getting tax back)
- Many of these deductions get paid to Revenue such as:
 - PAYE, PRSI (both employer and employee), USC
- Other deductions get paid to relevant bodies e.g. Health Insurance Company or else the Pension company

We need to account for all of these transactions

- As a business owner or manager, you need to understand what the payroll cost is to the employer:
- Do you understand what the payroll cost is to the employer? What elements of our pay are included?
- What else is included?

Cost to employer – Answer from prior slide

- Gross pay and employers PRSI

Terminology

- Note PRSI relates to Ireland – Pay related social insurance
- Revenue is the body that administers taxation in Ireland

There are various steps involved in processing payroll by the employer/business:

- **Step 1 – Recording wages/salaries when payroll is processed by the employer**
- **Step 2 – Payment to staff of wages/salaries whether it be weekly/monthly**
- **Step 3 – Payment of payroll taxes deducted to Revenue (monthly)**
- **Step 4 – Payment of other deductions such as health insurance or pension over to the relevant bodies**

Step 1 - Journal to record our wages when payroll is processed by the employer

- DR wages expense (gross wages)
- DR wages expense (employers PRSI)
- CR Net wages account
- CR PAYE liability account
- CR Employer PRSI liability account
- CR Employee PRSI liability account
- CR USC liability account
- CR Health insurance liability account
- CR Pension liability account
- CR Union Fees liability account (if applicable)

Description:

- To record the wage cost for say Feb 2020

Step 2 – Journal to record actual payment of wages to employees

- DR Net wages payable account (so that now it becomes zero)
- CR Bank
 - To post payment of net wages to employees on say 30th of the month

What is the balance now on the net wages account?

Step 3 – Journal to record payment to Revenue for amounts deducted

The business now has to pay Revenue for the taxes deducted on behalf of the employee must be paid over to Revenue accordingly each month by the due date, together with a tax return. The journal to record this transaction for the business is:

- DR PAYE liability account
- DR Employer PRSI liability account
- DR Employee PRSI liability account
- DR USC liability account
- DR Local Property Tax liability account - (if applicable)
- CR Bank

To record the payment to Revenue of X month payroll taxes (e.g. February 2020 payroll taxes)

- What is the balance now on the various payroll tax liability accounts?
- They now have a zero balance, as there is no longer an amount owing to Revenue for payroll taxes (i.e. cleared down each month (for most businesses))

Step 4 – Journal to record payment to other providers for relevant amounts deducted

- In our example we deducted both health insurance premiums and pension contributions, both of which must be paid over to the relevant providers (could have union fees or other such deductions too – all dealt with the same way):
- Health Insurance:
 - DR Health Insurance liability account
 - CR Bank
 - To pay the health insurance premiums deducted in say Jan 2020
- Pension deductions:
 - DR Pension liability account
 - CR Bank
 - To pay the pension contributions deducted in say Jan 2020

What are the balances on any such accounts now?

- Note the various other payroll liability accounts now have a zero balance, as there is no longer amounts owing to these relevant bodies.
- In business it is possible that these are paid quarterly rather than monthly, so at the end of say March, there may be the balance for the January, February and March deductions. In reality these could be paid in early April. It is important that you understand why there is a balance and what amounts/months make up this balance.

Question – Summer 2020 Q2A

College Ltd had the following wages and salaries information for January 2020. College Ltd pay their net wages to all staff on the 28th of each month. At 31 January 2020, no postings have yet been made to the accounts

	€
Net wages	942,000
PAYE deducted	215,000
Employer's PRSI	96,000
Employee's PRSI	82,000
USC	68,238
Health Insurance	17,890

Required:

Prepare the journal in relation to the wages for January 2020 including the journal for the payment of wages to staff. **(6 Marks)**

College Ltd paid Revenue for the January payroll liabilities on 20 February 2020. Prepare the journal to record this in full **(3 Marks)**

College Ltd pay the health provider each month with the prior month liability.

Prepare the journal for the payment made on 5th February 20 **(2 Marks)**

Unrestricted is a sole trade and had the following Trial Balance as at 31 December 2021:

	DR €	CR €
Fixtures and Fittings at Cost	174,500	
Motor Vans at Cost	120,000	
Accumulated Depreciation – Fixtures and Fittings 1/1/21		104,700
Accumulated Depreciation – Motor Vans at 1/1/21		52,500
Purchases returns		3,100
Inventory (1 Jan 2021)	32,000	
Accruals		2,500
Salaries and wages	103,750	
Provision for bad debts		3,000
Sales Returns	1,400	
Purchases	189,300	
Sales		422,850
Rates	18,000	
Electricity	22,000	
Bank	116,200	
Trade receivables	84,000	
Audit fees	2,500	
Insurance	36,625	
Trade Payables		78,399
Office Expenses	13,620	
Loan (8% interest per annum)		30,000
Capital		216,846
	913,895	913,895

Additional Information:

1. Inventory at 31 December 2021 was €120,000
2. Depreciation is charged on a straight-line basis on fixtures and fittings at 10% per annum
3. Depreciation is charged on a reducing balance basis on motor vans at 25% per annum
4. The owner withdrew €4,000 from the bank account for personal use (which has not been accounted for yet)
5. An invoice for rates was posted to the accounts for €18,000 to cover the period 1 March 2021 to 1 March 2022. Unrestricted was exempt from rates charges prior to this date
6. Opening accruals of €2,500 relates to audit fees for December 2020. This bill has been received and recorded in the accounts (but the accrual remains). The bill for December 2021 is estimated at €4,600
7. The loan was taken out on 1 July 2021. Interest has not yet been posted for 2021
8. The closing bad debt provision should be 5% of closing trade receivables

Required:

- a) Prepare the journal entries required to record these transactions for Unrestricted

(16 Marks)

- b) Prepare a Statement of Profit or Loss for Unrestricted for the year ended 31 December 2021 and a Statement of Financial Position as at 31 December 2021

(24 Marks)

Question 1

a)	Journals	DR	CR
	Inventory	120,000	
	Purchases/Cost of sales		120,000
	To record closing inventory 31 Dec 21		
	Depreciation Expense	17,450	
	Accumulated Depreciation Buildings		17,450
	To record Depreciation on F&F 10% SL		
	Depreciation Expense	16,875	
	Accumulated Depreciation F&F		16,875
	To record Depreciation on Vans 25% RB		
	Drawings	4,000	
	Bank		4,000
	To record withdrawal of funds for personal use		
	Prepayment	3,000	
	Rates		3,000
	Record rates prepaid 2/12 * 18k		
	Accruals	2,500	
	Audit fees		2,500
	Reverse opening accrual		
	ABOVE AND BELOW		
	Audit fees	4,600	
	Accruals		4,600
	Record closing accrual audit fees Dec 21		
	OR ELSE		
	Audit fees	2,100	
	Accruals		2,100
	Record increase in audit accrual		
	Interest	1,200	
	Accruals		1,200
	Accrue interest not yet charged on loan * 6/12		
	Bad debt expense	1,200	
	Bad debt provision		1,200
	Increase provision to 5% of closing trade receivables		

Deduct 2 marks if journal descriptions not given

b) Statement of Profit or Loss - Unrestricted Ltd for the year ended 31 December 2021

Sales	422,850
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Less Sales returns	1,400	
		421,450
Less Cost of Sales:		
Opening Inventory	32,000	
Purchases	189,300	
Less purchases returns	- 3,100	
Less Closing Inventory	- 120,000	98,200
Gross Profit		323,250
Less Expenses:		
Depreciation (17450+16875)	34,325	
Wages and Salaries	103,750	
Electricity	22,000	
Rates (18000-3000)	15,000	
Audit fee	4,600	
Insurance	36,625	
Office expenses	13,620	
Loan interest	1,200	
Bad debt expense	1,200	232,320
Net profit		90,930

Statement of Financial Position as at 31 December 2021

Assets	Cost	Acc Dep	rrying Amou
Non Current Assets:			
Fixtures & Fittings	174,500	122,150	52,350
Vans	120,000	69,375	<u>50,625</u>
			102,975
Current Assets			
Inventory		120,000	
Trade Receivables (84000-4200 provision)		79,800	
Prepayments		3,000	
Bank (116200-4000)		112,200	<u>315,000</u>
Total assets			<u><u>417,975</u></u>
Equity and Reserves			
Capital		216,846	
Less drawings	-	4,000	
Net profit		<u>90,930</u>	303,776
Current liabilities			
Loan		30000	
Trade Payables		78399	
Accruals (2500+2100+1200)		5800	<u>114199</u>
Total equity and reserves			<u><u>417,975</u></u>

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